

ECON / FIN F 315 – Group Assignment Problem Statement

The entire task is to be done in **ONE** Excel file.

ALL DATA used for completing the task must be provided (in separate sheets as per the task)

Make different sheets in the Excel file and rename it accordingly.

Show all the working, steps etc. keep the formulae etc. so that it can be evaluated.

The first sheet must contain the Names and IDs of all contributors (even if it is a single-member group).

Ensure accuracy.

Only one person, preferably the one who filled the Google form, must submit the assignment.

I will share a Google link for uploading the assignment file. Do not share the link to Google drive or share assignment via email.

It is your responsibility to check beforehand that the data is available for all tasks, the company is currently listed, and that you will not face any issues with analysis later.

Marks will be deducted if the above instructions are not followed while assignment submission.

Note: This assignment is open-ended and marks will be awarded on relative basis depending upon the approach and method used for the analysis, coverage of the task, presentation of the results, and discussion of results.

Part I: Corporate Governance (30% weight-age)

As on FY 24 or FY 25:

Is it a family-run business?

Size of board

Is the Chairman of the Board also the top manager of the firm (i.e. whether it's a case of CEO Duality), if so, is it benefitting the company? If CEO duality is not the case, mention the same and briefly highlight its impact on the firm's decision-making for your company

Gender Diversity on the Board of Directors

Number of independent directors

Brief background of executive and non-executive directors – age, experience, qualification, competence etc

Serious (potentially impactful) lawsuits filed against the firm

Auditor of the company and auditor's experience regarding the truthfulness and reliability of the accounting practices of the company

As per your findings, is information asymmetry a potential contention between the board of directors and the top management?

Part 2: IPO Analysis (30% weight-age)

Source of financing and utilisation of the finance capital:

Date of IPO

Issue price

Closing price on the first day of listing (compute first-day's % gain/loss) – if it is positive, it is generally referred to as IPO underpricing

Lead Underwriter

Reason for IPO – New Issue or Offer for sale or mix of both (specify percentage)

% oversubscription

Age of the firm at the time of IPO

Amount mobilized (in Rs) during the IPO

Shareholding pattern before and after IPO

Did IPO provide exit routes to Private equity, venture capitalists, or Angel investors?

The utilisation of IPO money mobilised

Underwriting fees incurred during the IPO

Post the IPO, has the company ever resorted to the following modes for financing its projects: crowdfunding, private equity, peer-to-peer lending, and investments by financial institutions such as commercial banks or NBFCs? No need to provide details; simply mention yes or no.

As per your findings, whether the IPO was a success or failure, did the company perform well or poorly after its IPO? Did IPO oversubscription and extent of underpricing had a positive impact on the long-term price performance of the firm.

Part III – Financial Management of the company (40% weight-age)

Refer to the FY 24 and FY 25 (or FY 23 and FY 24, depending on the data availability) annual reports and other publicly available statistics. The assignment problem statement is open-ended; use your judgment and the available data for the analysis.

The report must contain analysis on the following sections:

I. Capital Expenditure – number of major investments undertaken by the firm (relative to its size) during the sample period. Highlight whether the capex is related to expansion in the same line of business, diversification, or replacement, R&D, and intangible assets. Focus on growth in assets, sales, exports, partnerships, joint-ventures etc.

II. Trend analysis of the company's working capital. How does the company fulfil its requirement for working capital? Which assets and liabilities are the major component of working capital?

III. Capital structure – provide an analysis of the capital structure of the company over the sample period (using quarterly data). Identify major sources of funding and whether funding is related to investment requirements analyzed in part I. Is the company generating enough operating cash flow to fulfill CapEx and other requirements?

IV. Cost of capital and intrinsic value – Estimate the firm's cost of capital. State the assumptions wherever required. Consider both the CAPM and the market value-based approach for estimating capital costs. Explain how you have estimated the inputs for the CAPM model. Consider the possibility that depending upon the life-cycle of the firm, the firm may or may not grow at a constant growth rate. What is your estimate of the intrinsic value of the firm.
